

JONES DAY

51 LOUISIANA AVENUE, N.W. • WASHINGTON, DC 20001.2113

TELEPHONE: +1.202.879.3939 • JONESDAY.COM

DIRECT NUMBER: 2028793630

BOLCOTT@JONESDAY.COM

May 16, 2023

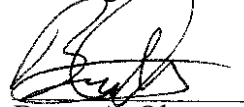
Hon. Michelle L. Phillips
Secretary to the Commission
New York State Public Service Commission
Agency Building 3
Albany, NY 12223-1350
Phone: (518) 474-2500
Fax: (518) 474-9842
E-mail: secretary@dps.ny.gov

Dear Hon. Michelle Phillips:

Please find attached a restated version of the application of Xchange Telecom LLC (“Xchange Telecom”) and NOVA Infrastructure Capital Advisors, LLC (“NOVA”) requesting authority for the transfer of control of Xchange Telecom to NOVA. The attached should be filed in the existing docket for this matter, 22-02240.

Please let us know if you have any questions about this filing.

Best regards,


Bruce A. Olcott

**STATE OF NEW YORK
PUBLIC SERVICE COMMISSION**

Joint Petition of	)	
	)	
Xchange Telecom LLC	)	
	)	
and	)	
	)	
NOVA Infrastructure Capital Advisors, LLC	)	PSC Docket No. 22-02240
	)	
for Approval of a Transfer of Control of	)	
Xchange Telecom LLC to NOVA	)	
Infrastructure Capital Advisors, LLC	)	

RESTATED JOINT PETITION

Pursuant to NY CLS Pub. Serv. Law §§ 99 and 100, Xchange Telecom LLC (“Xchange Telecom” or “the Company”) and NOVA Infrastructure Capital Advisors, LLC (“NOVA”) (collectively, “Petitioners”) are filing this restated joint petition requesting approval for the transfer of ownership of Xchange Telecom to NOVA (“Petition”).¹ As a result of the transaction, which was consummated on November 28, 2022, Xchange Telecom became a wholly controlled, indirect subsidiary of NOVA.²

¹ This restated Petition replaces in its entirety the information that was provided by the Petitioners in their November 15, 2022 application.

² Although not directly relevant to this Petition, on September 15, 2022, NOVA, through its administrative agent, NOVA-Skywire HoldCo, L.P., filed an application with the New York Department of Public Service requesting Special Temporary Authority (“STA”) to appoint two independent managers to oversee the management and day-to-day operations of Xchange Telecom. NOVA took this action to preserve the Company and its assets in a way that would ensure its ongoing operations, maintains its value, and protect the interests of its customers. The independent managers assumed their duties on September 15, 2022 and began working cooperatively with the existing inhouse Senior Vice President of Legal and Finance on the management and operation of the Company. Separately, the two Co-Founders agreed to the day-to-day management of the Company by the two independent managers. This agreement effectively negated the indicia of a *de facto* transfer of control event resulting from the appointment of the independent managers. Accordingly, NOVA’s STA application is arguably no longer relevant.

The proposed transaction will enable Xchange Telecom to continue to operate as a competitive provider of broadband and telecommunications services in New York, but will otherwise have no effect on the Company's operations. Xchange Telecom will remain the holder of its Certificate of Public Convenience and Necessity issued on June 13, 2002, Case No. 02-C-0449, and will continue to offer the same services under the same rates, terms and conditions as currently offered. Consequently, the proposed transaction will have no adverse impact on New York customers and no customer notice is required. In support thereof, it is respectfully shown as follows:

I. DESCRIPTION OF TRANSFEROR AND TRANSFEREE

A. Xchange Telecom LLC

Xchange Telecom is a telecommunications carrier and broadband access provider through its brand names Skywire Networks and Xchange Telecom. Xchange operates as a fixed line carrier in New York, New Jersey, and Maryland, with the vast majority of its enterprise and residential customers and operations based in New York City, and additional customers located in Ocean County, New Jersey, Rockland and Orange Counties, New York. Xchange Telecom serves its customers using both resold wireline capacity and through a fixed-location wireless infrastructure, avoiding the need for an expensive buildout of a fiber-based distribution network. Xchange Telecom was owned by its Co-Founders, Alan Levy and Alfred West.

Xchange Telecom is authorized as an Eligible Telecommunications Carrier ("ETC") in New York and New Jersey. In New York, Xchange Telecom was authorized as a wireline ETC

pursuant to an order issued April 27, 2009³ and as a wireless ETC pursuant to an order issued September 21, 2020.⁴ In New Jersey, Xchange Telecom was authorized as an ETC pursuant to an order issued May 19, 2021.⁵

Xchange Telecom provides Lifeline services and supports the Affordable Connectivity Program (“ACP”) for its customers. Xchange Telecom has more than 10,000 customers in New York and New Jersey that receive Lifeline services. All of these customers receive these services on a common carrier basis. The majority of these customers receive these services using resold copper wireline capacity purchased from a wholesale carrier, with a minority receiving services transported in part using fixed wireless links. Xchange Telecom herein certifies that it is in full compliance with its ETC regulatory obligations.

Xchange Telecom supports the ACP program by providing fixed and mobile ACP services to its customers in New York, New Jersey, and Maryland, along with acting as a reseller in the provision of mobile ACP services in the additional states of Alaska, Colorado, Georgia, Illinois, Michigan, Montana, Nebraska, New Mexico, North Dakota, and Wyoming, with an application pending in California.

³ See Order Approving Designation as Eligible Telecommunications Carrier, State Of New York Department Of Public Service, Case No. 09-C-0295 (April 27, 2009), *available at*: <https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={00A4EF24-1345-4D47-92E9-E338E431F7AE}>.

⁴ See Order Approving Designation as Eligible Telecommunications Carrier, State Of New York Department Of Public Service, Case No. 20-C-0372 (Sept. 21, 2020), *available at*: <https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={B0280EF3-41F6-4A4C-A7AD-5FDFA6BA4E3B}>.

⁵ See Petition of Xchange Telecom, LLC for Designation as an Eligible Telecommunications Carrier in the State of New Jersey, New Jersey Board of Public Utilities, Order, Docket No. TO20090615 (May 19, 2021), *available at*: https://publicaccess.bpu.state.nj.us/DocumentHandler.ashx?document_id=1241781.

B. NOVA Infrastructure Capital Advisors, LLC

NOVA, a Delaware limited liability company, is the ultimate control entity and majority owner of an infrastructure investment firm formed in Delaware and based in New York that targets middle market opportunities in transportation, environmental services, energy and energy transition, communications, and other infrastructure sectors primarily in North America. Voting control of NOVA is held by Chris Beall, who is the Managing Partner and co-founder of the firm. A majority of the attributable membership interests in NOVA are also held by Beall, with membership interests in excess of 10% also held by Allison Kingsley, a Partner and co-founder of NOVA, and Donna Toth, a Partner, and the Chief Financial Officer of NOVA. These three individuals are all U.S. citizens.

II. DESCRIPTION OF THE PROPOSED TRANSACTION

NOVA indirectly controls three investment funds and related entities that entered into a Credit Agreement that initially provide a \$16.15 million loan to Xchange Telecom. The final maturity date for the loan was September 14, 2022, meaning the loan became due and payable in accordance with the Credit Agreement's terms. Xchange Telecom did not make full and timely payment on the loan. In lieu of a formal foreclosure proceeding, the two individuals who are the co-founders and 100% interest holders in Xchange Telecom ("the Co-Founders") agreed to transfer their interests in Xchange Telecom to a NOVA-controlled Delaware entity, NOVA-Xchange Investco, L.P. ("NOVA-Xchange"). The transfer of Xchange Telecom to NOVA was consummated on November 28, 2022.

Upon consummation of the transaction, Xchange Telecom became 100% owned and controlled by NOVA-Xchange. The General Partner of NOVA-Xchange is NOVA Infrastructure GP I, L.P. ("NOVA GPI"), which is a Delaware entity. The General Partner of NOVA GPI is

NOVA LP General Partner, LLC (“NOVA GP”), which is also a Delaware entity. 100% control of both NOVA GPI and NOVA GP is held by NOVA. The economic partnership interests in NOVA-Xchange are also 100% directly held by NOVA.

71% of the economic interests in NOVA-Xchange are held by NOVA Infrastructure Fund I, L.P. (“NOVA Funds I”), which is a Delaware entity. The General Partner of NOVA Fund I is NOVA GPI, discussed above. The only individual or entity that holds sufficient economic interests in NOVA Fund I to result in an indirect economic interest in Xchange Telecom of 10% or more is AAA Sub Fund 3-Y, L.P. (“AAA, L.P.”), which holds a 15% economic interest in NOVA Fund I, resulting in a 10.7% indirect economic interest in Xchange Telecom. AAA, L.P. is a Delaware entity. No individual or entity holds a sufficient economic interest in AAA, L.P. to result in an indirect economic interest in Xchange of 10% or more. The General Partner of AAA, L.P. is Apollo Aligned Alternatives Advisors, L.P. (“AAAA, L.P.”), which is ultimately controlled through intervening entities by Apollo Global Management, Inc. (“AGM”). Both AAAA, L.P. and AGM are Delaware entities. Neither AAAA, L.P., nor AGM, nor the intervening entities between them have an indirect economic or voting interest in Xchange Telecom. First, the 10.7% indirect economic interest in Xchange Telecom held by AAA, L.P. flows up to the investors in that fund, not to AAA, L.P.’s General Partner. Second, 100% of the voting control over NOVA Fund I is held by its General Partner, NOVA GPI, and not by the limited partner investors in the fund.

27% of the economic interests in NOVA-Xchange are held by NOVA-Xchange InvestCo Blocker, LLC (“NOVA Blocker”), which is a Delaware entity. The only individual or entity that holds sufficient economic interests in NOVA Blocker to result in an indirect economic interest in Xchange Telecom of 10% or more is NOVA-Xchange DE AIV, L.P. (“NOVA AIV”), which holds

a 60% economic interest in NOVA Blocker. NOVA AIV is a Delaware entity. The General Partner of NOVA AIV is NOVA GPI, discussed above. No individual or entity holds sufficient economic interests in NOVA AIV to result in an indirect economic interest in Xchange Telecom of 10% or more.

As noted above, NOVA is majority owned and controlled by Chris Beall, who is a U.S. citizen. Beall holds 56.58% of the economic and 100% of the voting interests in NOVA. Ownership interests of 10% or more in NOVA are also held by two other U.S. citizens: Allison Kingsley, a Partner and Co-Founder of NOVA, and Donna Toth, a Partner, and the Chief Financial Officer of NOVA. Kingsley holds 25.12% of the economic interests in NOVA and Toth holds 12.30% of the economic interests in NOVA.

The contact information for NOVA and each of the above-identified individuals is as follows:

NOVA Infrastructure Capital Advisors, LLC
400 Madison Avenue
Suite 11B
New York, NY 10017
(646) 889-8100

Except for AGM, none of the individuals or entities disclosed above hold any direct or indirect economic or voting interests of 10% or more in any other entity that operates as a telecommunications carrier.

AGM and its managed investment funds currently and previously have held investment interests in various regulated telecommunications entities, including CableCom, Unitymedia, and Intelsat. The Federal Communications Commission recently authorized AGM to secure indirect control of the incumbent local exchange carrier entities previously controlled by Lumen Technologies, Inc. (formerly known as CenturyLink, Inc.). AGM also controls Intrado

Corporation, which provides competitive LEC-based telecommunications services through various subsidiaries; and Cox Media Group, which owns and operates television and radio stations in 20 markets across the United States. A chart detailing the relationships between these entities and individuals is included as Exhibit 1 to this Petition.

III. CUSTOMER IMPACT

The Petitioners submit that the proposed transaction is in the public interest, and will be seamless from the perspective of Xchange Telecom's New York customers. The proposed transaction will allow NOVA to inject additional operational funding into the Company, enabling it to continue to provide competitive broadband access and telecommunications services to its enterprise and residential customers in New York. At the same time, the proposed transaction will have no adverse impact on Xchange Telecom's customers. The Company will continue to provide high-quality services at the same rates and on the same terms and conditions as are currently in effect. The only change immediately following closing of the proposed transaction from a customer's perspective is that Xchange Telecom's ownership will change, with NOVA being its ultimate owner.

IV. CONTACT INFORMATION

Questions or any correspondence, orders or other materials pertaining to this Petition should be directed to:

Bruce A. Olcott
Jones Day
51 Louisiana Ave., N.W.
Washington, DC 2001-2113
Tel: (202) 879-3630
bolcott@jonesday.com

V. PUBLIC INTEREST ANALYSIS

The grant of this Petition would greatly benefit the public interest. Xchange Telecom serves a critical role in the New York area telecommunications services industry providing a competitive alternative to incumbent wireline service providers using an innovative wireless point-to-multipoint infrastructure. This approach has permitted Xchange Telecom to serve heavily urban areas where it would be exceedingly expensive and challenging to deploy terrestrial fiber or coaxial infrastructure.

Xchange Telecom's customer base is also reflective of these dense urban conditions. Many of its customers are low income and qualify for subsidies provided by the FCC's Lifeline program or through other government supported mechanisms. Many of these customers would have no competitive options with respect to their access to broadband internet and communications services absent Xchange Telecom's attractive offerings.

Given the important benefits that Xchange Telecom provides its customers, it is critically important that its ongoing operations be preserved, its employees provided with stable management, and its access to financial resources protected. NOVA's proposal to assume control over Xchange Telecom would permit NOVA to invest additional operating capital into the company, thus helping to ensure each of the above-identified goals and therefore should be authorized as highly beneficial to the public interest.

VI. CONCLUSION

Based on the foregoing, the Petitioners respectfully submit that the public interest, convenience, and necessity would be furthered by the approval of the transaction described in this Petition and respectfully request that the Commission approve the transaction as expeditiously as possible.

Respectfully submitted,

/s/ Mordy Gross

Mordy Gross

Senior Vice President of Legal and Finance

Xchange Telecom LLC

(646) 722-7285

/s/ Bruce A. Olcott

Bruce A. Olcott

Jones Day

51 Louisiana Ave., N.W.

Washington, DC 2001-2113

Tel: (202) 879-3630

bolcott@jonesday.com

Counsel for NOVA Infrastructure Capital
Advisors, LLC

Date: May 16, 2023

Exhibit 1

Post-Transaction Ownership Structure

